9.4. Modern Banking Services:

After Libera-lization, Privatization and Globalization, there was a huge development taken place in the Indian banking scenario. All Indian banks were forced to compete with world banks that were permitted to open their branches in India. As a result, all banking customers were offered multiple and model banking products which are different from traditional and conventional banking system in India and these banking functions or mostly based on information technology.

Modern banking services include new products such as Core Banking Solutions; No frills account; Demat accounts; Net Banking/ E- Banking; Mobile banking; Debit Card/Credit cards; Automated Teller Machines (ATM); Insurance etc.

1. **Special Term Deposits:** This deposit can be opened in the same way as the term deposit accounts. The interest on this account is compounded at quarterly intervals and the principal and interest are paid on maturity. The minimum and maximum period of deposits is normally 7 days to 120 months subject to change from one bank to another and the minimum amount of deposit is Rs.1000/- in multiple of Rs.100/-. The depositor can avail loan from this account upto 90% of the principal amount with accrued interest.

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Fig. 9.1. Special Term Deposits

2. **Core Banking Solution (CBS):** Core Banking Solution (CBS) is networking of branches, which enables Customers to operate their accounts, and avail banking services from any branch of the Bank on CBS network, regardless of where he maintains his account. The customer is no more the customer of a Branch. He becomes the Bank's Customer. Under this system all CBS branches are inter-connected with each other. Therefore, Customers of CBS branches can avail various banking facilities from any other CBS branch located anywhere in the world.

3. **No Frills Accounts:** These accounts are opened mostly in rural areas as a part of financial inclusion project encouraged by Reserve Bank of India. These accounts are opened by banks without the condition of maintaining minimum balance. No charge will be levied for non-operation/activation of inoperative basic savings bank accounts. No frill accounts are mainly aimed to take the banking facilities to the poor people in the unbanked rural areas and semi-urban areas.

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